

Revenue (FY25) 22,199 Cr +7% YoY	EBITDA (FY25) 1,918 Cr Margin 8.6%	Net Profit (FY25) 820 Cr +15% YoY	EPS (FY25) 13.06 vs 11.32	Order Book 83,004 Cr Mar 2026	P/E (TTM) ~15x Sector ~18x
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1. COMPANY OVERVIEW & BUSINESS SEGMENTS

About NCC Ltd

- Founded 1978, headquartered in Hyderabad. One of India's largest EPC contractors
- Operates across 7 verticals: Buildings, Roads, Water, Electrical T&D, Railways, Mining, Irrigation
- Completed 500+ building projects; laid 20,700+ km of water pipelines
- Strong government client base: NHAI, RVNL, state PWDs, CPWD, BMRCL
- Small real estate arm (NCC Urban) active in Hyderabad & Bangalore
- Promoter holding ~22.8%; ~63% institutional + public float
- Market cap ~10,246 Cr; listed on NSE & BSE since 1995

Revenue mix — FY25 (approx.)

Buildings	38%
Transportation	19%
Electrical T&D	16%
Water & Environ.	14%
Mining	6%
Others	7%

Business segment descriptions

Buildings (38%): Industrial, commercial, residential, hospitals, IT parks, airports, stadiums. Largest and most profitable vertical; strong government & private demand.

Transportation (19%): Highways, bridges, flyovers, metro corridors, tunnels. Key client: NHAI. Benefits from PM Gati Shakti and Bharatmala.

Electrical T&D; (16%): Power transmission lines, distribution networks, smart meters. Recently won 10,804 Cr BharatNet contract from BSNL — transformative order.

Water & Environment (14%): Water supply, sewerage, irrigation canals. Beneficiary of AMRUT 2.0 and Jal Jeevan Mission.

Mining (6%): New high-growth vertical. 6,800 Cr CCL (Central Coalfields) contract for coal extraction & transportation — 8-year tenure.

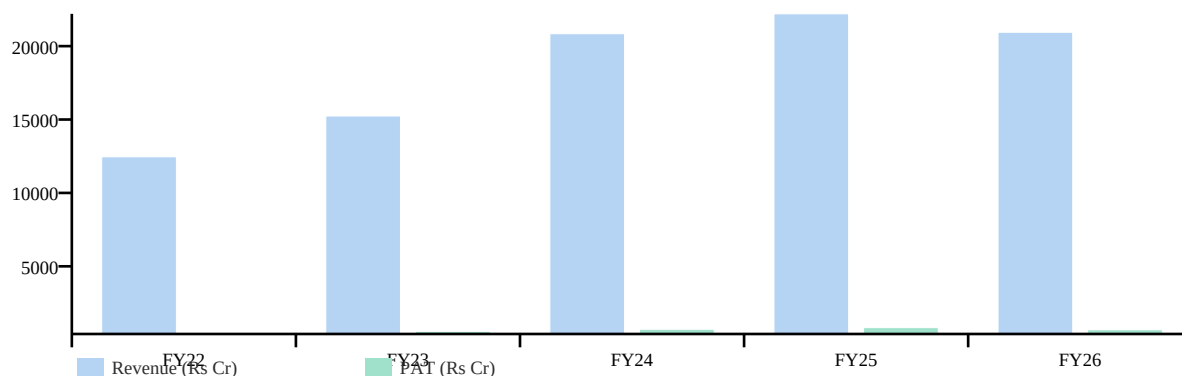
Railways & Others (7%): Metro rail, track-laying, irrigation. Steady contributor with RVNL as key client.

2. HISTORICAL FINANCIAL PERFORMANCE & KEY RATIOS

Metric (Cr)	FY22	FY23	FY24	FY25	FY26
Revenue	12,460	15,240	20,845	22,199	20,944
YoY Growth	—	+22%	+37%	+7%	-6%
EBITDA	1,090	1,340	1,745	1,918	~1,790
EBITDA Margin	8.8%	8.8%	8.4%	8.6%	~8.5%
PAT	390	570	711	820	675
PAT Margin	3.1%	3.7%	3.4%	3.7%	~3.2%
EPS (Cr)	6.2	9.1	11.3	13.1	10.7
Order Inflow	15,000	20,000	27,000	32,888	31,884
Order Book (year-end)	30,000	42,000	57,000	71,568	83,004

Note: FY26 figures as reported (May 2026). Prior years approximate basis reported data.

REVENUE & PAT TREND (FY22–FY26)



KEY FINANCIAL RATIOS

Ratio	FY22	FY23	FY24	FY25	Comment
EBITDA Margin	8.8%	8.8%	8.4%	8.6%	Stable; mgmt targets 9–9.5%
ROE	7.2%	9.4%	11.2%	~12%	Improving but modest for sector
ROCE	11%	15%	20%	23%	Strong; gap vs ROE = WC intensity
Net Debt/Equity	0.3x	0.1x	~0.05x	Low	Surged in FY26 (WC borrowings)
Interest Coverage	3.5x	4.2x	4.5x	~4x	Q2 FY26 dropped to 2.3x (caution)
Dividend Payout	18%	19%	20%	17%	Conservative capital allocation
Book-to-Bill	2.4x	2.8x	3.2x	3.5x	4x by FY26 — strong visibility

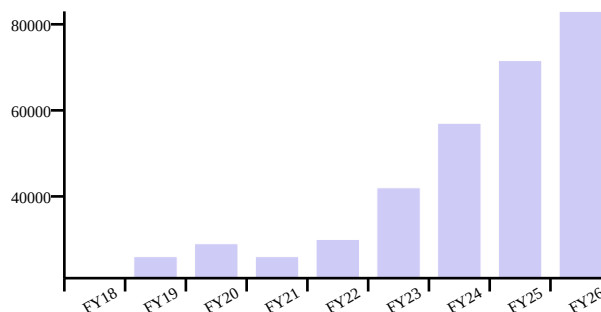
3. ORDER BOOK ANALYSIS

NCC holds a **record consolidated order book of ₹83,004 Cr** as of March 2026, representing ~4x book-to-bill on TTM revenues. Order inflows grew from ₹15,000 Cr in FY22 to ₹32,888 Cr in FY25 — a CAGR of ~30%. FY26 inflows were maintained at ₹31,884 Cr despite execution headwinds. The book provides 3–4 years of revenue visibility at current run rates. Government agencies (central + state) account for ~75–80% of the order book.

Segment-wise order book (Q2 FY26)

Buildings	31%
Transportation	24%
Electrical T&D	21%
Water & Railways	11%
Mining	6%
Irrigation/Others	7%

Order book trajectory (₹ Cr)



Key recent order wins:

- ₹10,804 Cr — BharatNet smart meters (BSNL)
- ₹6,800 Cr — CCL coal mining (8-yr contract)
- ₹1,480 Cr — Bihar Medical Services (hospitals)
- L1 positions held across multiple packages

4. VALUATION — P/E, EV/EBITDA & DCF

Method	Key Assumption	Fair Value Range	Implied Upside
P/E Based	15–16x FY27E EPS ~₹13	₹190–210	+17–29%
EV/EBITDA Based	9–10x FY27E EBITDA	₹195–215	+20–32%
DCF Based	WACC 13%, Terminal growth 4%	₹185–205	+14–26%
Consensus (9 analysts)	Avg analyst target price	₹200	+23%

Peer Comparison

Company	P/E (FY26E)	EV/EBITDA	Rev Growth	EBITDA Margin
NCC Ltd	~15x	~7.5x	~8%	8.6%
L&T; (Infra)	~28x	~16x	~12%	~12%
KNR Constructions	~18x	~10x	~10%	~16%
PSP Projects	~20x	~11x	~12%	~12%
HG Infra	~17x	~9x	~11%	~14%

NCC trades at a significant discount to peers on both P/E and EV/EBITDA — driven by FY26 earnings disappointment and debt concerns. The discount appears excessive given record order book and improving ROCE.

5. STRENGTHS, WEAKNESSES, OPPORTUNITIES & THREATS

Strengths - Record ₹83,004 Cr order book; 4x book-to-bill - Diversified across 7+ infra verticals 500+ completed buildings; 20,700 km pipelines - Conservative leverage; low long-term debt - Improving ROE/ROCE trajectory over 3 years - New high-growth verticals (smart meters, mining)	Weaknesses - Thin PAT margins (~3–4%); vulnerable to cost spikes - High working capital intensity; slow collections - Low promoter holding at 22.8% - Heavily dependent on government capex cycles - FY26 revenue declined ~6% YoY - Interest coverage weakened to 2.3x in Q2 FY26
Opportunities - India infra market growing to ₹39 tn by 2029 - PM Gati Shakti, NIP, Bharatmala driving awards - Smart cities, BharatNet, AMRUT 2.0 tailwinds - Rising private sector buildings demand - Margin upside from better project mix - Mining segment — transformative 8-yr CCL order	Threats - Elongated AP govt receivables (ongoing issue) - Input cost spikes (steel +40% risk to margins) - Election-driven order award seasonality - Intensifying competition from L&T; Afcons, NCC - FY26 guidance withdrawn — near-term uncertainty - Net debt surged 365% YoY in FY26

6. KEY RISKS & MITIGANTS

Risk Level	Risk Factor	Description	Mitigant
HIGH	Working capital & receivables stress	Net debt surged 365% YoY to ₹2,815 Cr in FY26 driven by elevated WC borrowings. AP government receivables remain sticky. Slow collections inflate debtors and raise interest costs, disproportionately hurting thin PAT margins.	AP management has guided for resolution by FY26-end. Improving billing discipline and digital project monitoring being deployed.
HIGH	Execution risk on new complex segments	Smart meter (₹10,804 Cr) and large mining (₹6,800 Cr) are capital-intensive and operationally newer. Cost overruns or deployment delays could impair margins.	Capex raised from ₹750 Cr to ₹1,050 Cr for FY26; ₹580 Cr already invested in smart meters. Management has hands-on teams deployed.

MEDIUM	Government capex concentration	75–80% of order book is government-sourced. Slowdowns due to fiscal tightening, elections, or policy shifts directly impact inflows and execution.	Growing private sector share. Buildings segment increasingly driven by private developers.
MEDIUM	Raw material cost volatility	Steel and cement form ~35–40% of project costs. Price spikes without price-escalation clauses squeeze EBITDA margins already thin at 8–9%.	Most contracts now include escalation provisions. Fixed-price exposure being reduced.
LOW	Low promoter holding (22.8%)	Among the lowest in the sector. Creates governance risk and potential vulnerability to activist shareholders.	Track record of governance has been sound historically. Institutional holding is robust.

7. OUTLOOK, CATALYSTS & INVESTMENT RECOMMENDATION

Key Catalysts to Watch

H2 FY27 execution ramp-up	Several large mining and BharatNet sites expected to gain traction post-monsoon. Management anticipates normal ramp-up with improved billing pace.
AP receivables collection	Any meaningful recovery reduces net debt and improves interest coverage — a direct bottom-line catalyst. Management has guided for resolution.
Margin recovery to 9–9.5%	Achievable if raw material prices stay soft and high-margin Buildings/Water projects contribute more to the mix. Each 50 bps of margin = ~₹100 Cr PAT uplift.
Smart meter monetisation	₹580 Cr invested so far. Once deployed, these generate annuity-like recurring revenues with higher margins — transformative for earnings quality.
Sustained order inflow of ₹22,000–25,000 Cr/year	Management targets this level through FY28. With book-to-bill at 4x, revenue visibility is strong. New wins in telecom, hospitals, and infrastructure keep pipeline full.

BUY

Target Price: ₹200 | CMP: ₹163 | Upside: +23% | Time Horizon: 12–18 months

NCC trades at a material discount to peers (15x P/E vs sector 18–20x) despite holding a record ₹83,004 Cr order book and demonstrated profitability improvement through FY25. Near-term headwinds — FY26 earnings decline, working capital stress, and FY26 guidance withdrawal — are largely priced in at current levels. The combination of a 4x book-to-bill, improving ROCE (23%), new high-growth segments (smart meters, mining), and government infrastructure super-cycle creates a compelling risk-reward for investors with 12–18 month horizon. Stop-loss: ₹135. Key monitorable: Net debt trajectory and Q3/Q4 FY27 revenue execution.

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